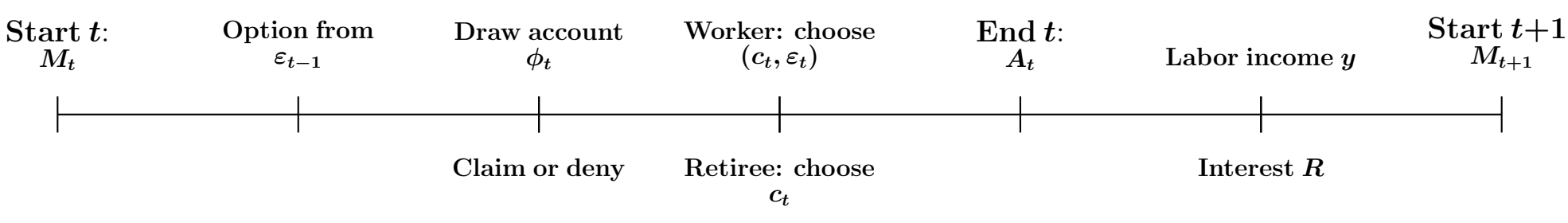
Start t:
M_t
Option from
ε_{t-1}
Draw account
ϕ_t
Worker: choose
(c_t, ε_t)
End t:
A_t
Labor income y
Start $t+1$:
M_{t+1}
Claim or deny
Retiree: choose
c_t
Interest R